

Turning anxiety into engagement: How advisors can support retirement plan savers during a shutdown

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles-us/retirement/turning-anxiety-into-engagement-how-advisors-can-support-retirement-plan-s>

Extraction method: selenium

Turning anxiety into engagement: How advisors can support retirement plan savers during a shutdown

The recent US government shutdown likely triggered immediate ripple effects across the workplace and has implications for retirement savers. For advisors supporting employer-sponsored retirement plans, this moment demands not only reassurance but strategic foresight. Participants are watching their financial futures with heightened concern, and many are looking to their advisors for clarity and leadership.

This outlook offers a strategic lens on how shutdowns may affect retirement portfolios and participant sentiment, and how advisors may proactively guide clients through the noise.

Market volatility: Navigating the immediate disruption

A shutdown can trigger short-term market volatility, especially when key economic data releases are delayed. The absence of reports like the employment report or Consumer Price Index can leave the Federal Reserve "flying blind," potentially influencing interest-rate decisions.¹ For plan participants, this uncertainty may spark anxiety about portfolio performance.

Advisors can help participants understand that volatility is a natural part of the investment cycle. Historical data shows that markets have typically rebounded post-shutdown. For example, after the 2013 and 2018 shutdowns, the S&P 500 Index recovered within weeks.² Advisors can use these examples to reinforce that staying invested and maintaining a diversified portfolio—even when news alerts are dire—made a difference in outcomes.

Moreover, during periods of heightened uncertainty, investors often shift toward lower-risk assets—a phenomenon known as "flight to safety." This behavior can stabilize bond markets but may also lead to missed opportunities if equity markets rebound quickly. Advisors should help participants weigh these trade-offs and avoid reactionary decisions that could undermine long-term goals.

Participant sentiment: Turning anxiety into engagement

Shutdowns can raise concerns about income continuity, especially for retirees. While Social Security and Medicare typically remain unaffected, the broader economic narrative can still unsettle participants. According to the 2025 Voice of the American Workplace survey, 54% of workers fear they won't be able to live the life they want during retirement.³ This concern is compounded by the fact that 89% say access to benefits that evolve with their needs would give them a sense of long-term security.

Advisors can use this moment to engage participants more deeply and could offer plan sponsors educational communications or online resources.

Clarify secure vs. delayed income sources to reduce confusion and build confidence.

Promote financial wellness strategies such as emergency savings and diversified income streams.

Reinforce plan design features like auto-enrollment and default offerings such as target-date funds that help participants stay on track.

This is also a prime opportunity to educate participants about the role of bonds in a balanced portfolio and how short-term volatility does not necessarily signal long-term risk.

Strategic positioning: Advisor actions that matter

Shutdowns offer a window for advisors to demonstrate leadership and deepen client trust. Key actions include providing participants with regular communications or educational materials.

Portfolio reviewsto assess exposure to sectors sensitive to government funding (e.g., defense, health care).

Establish a consistent communicationcadence to provide timely updates and context.

Use scenario planning toolsto model potential outcomes and recovery paths.

The Voice of the American Workplace survey also found that92% of employers believe protecting employees' retirement futures is key to building lasting relationships, and90% view retirement planning as a collaborative effort between employer and employee.³This alignment presents a powerful opportunity for advisors to position themselves as strategic partners—not just investment managers.

Post-shutdown recovery: Positioning for the rebound

Once funding is restored, markets have often responded positively. Advisors should potentially be ready to address questions and share education about:

Rebalancing portfoliosto align with emerging sector trends and participant risk profiles.

Reinforcing long-term investment disciplineand plan engagement.

Monitor policy shiftsthat may follow the shutdown, including fiscal stimulus or regulatory changes.

Recovery phases often present opportunities to revisit asset allocation and ensure portfolios are positioned for optimal gains. Advisors can guide participants through this process, helping them stay focused on long-term outcomes rather than short-term noise.

Final thought: Leadership through uncertainty

Shutdowns test investor confidence—but they also spotlight the value of thoughtful, proactive guidance. Advisors who combine market insight with participant empathy can help clients not only weather the storm but emerge stronger.

This is a moment to lead with clarity, educate with purpose, and position portfolios for resilience.

Endnotes

Source: "What the government shutdown could mean for your investments, according to a chief market strategist," CNBC. October 1, 2023.

Source: "What a US Government Shutdown Means for Markets," Bloomberg News. September 30, 2025. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges.Past performance is not an indicator or a guarantee of future results.

Voice of the American Workplace 2025, Franklin Templeton proprietary research. The Voice of the American Employer Survey was conducted by The Harris Poll on behalf of Franklin Templeton from November 25 to December 6, 2024. All 1,002 respondents, based in the United States, are classified as employers, defined as having at least some influence over company benefits and/or hiring at organizations with over 100 employees. Respondents represent a mix of industries, company size, role, age, and race.The Voice of the American Worker Survey was conducted by The Harris Poll on behalf of Franklin Templeton from November 27 to December 10, 2024, among 2,018 employed US adults. All respondents had some form of retirement savings. This online survey is not based on a probability sample and therefore no estimate of theoretical sampling error can be calculated.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Principal invested is not guaranteed at any time, including at or after a fund's retirement target date; nor is there any guarantee that the fund will provide sufficient income at or through the investor's retirement. The investment risk of the retirement target fund changes over time as its asset allocation changes. Investments in underlying funds are subject to the same risks as, and indirectly bear the fees and expenses of, the underlying funds.

Equity securities are subject to price fluctuation and possible loss of principal. Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

Alternative strategies may be exposed to potentially significant fluctuations in value. Active management does not ensure gains or protect against market declines.

Any information, statement or opinion set forth herein is general in nature, is not directed to or based on the financial situation or needs of any particular investor, and does not constitute, and should not be construed as, investment advice, forecast of future events, a guarantee of future results, or a recommendation with respect to any particular security or investment strategy or type of retirement account. Investors seeking financial advice regarding the appropriateness of investing in any securities or investment strategies should consult their financial professional.

Franklin Templeton, its affiliated companies, and its employees are not in the business of providing tax or legal advice to taxpayers. These materials and any tax-related statements are not intended or written to be used, and cannot be used or relied upon, by any such taxpayer for the purpose of avoiding tax penalties or complying with any applicable tax laws or regulations. Tax-related statements, if any, may have been written in connection with the ?promotion or marketing? of the transaction(s) or matter(s) addressed by these materials, to the extent allowed by applicable law. Any such taxpayer should seek advice based on the taxpayer?s particular circumstances from an independent tax advisor.

CONTRIBUTORS

Michael Dullaghan

Retirement Strategist, Franklin Templeton

Related Content

Rate decision implications: why stable value funds matter for retirement savers

How to keep your 401(k) on track amid dire news alerts

The home stretch: Seven essential steps for pre-retirees

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ?ESG? as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S.by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents.Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.